REAL ESTATE MARKET REVIEW

UAE Real Estate Market Review Q4 2024

Real estate markets continue to benefit from the country's non-oil strength and sustained increases in inbound foreign capital.

CBRE RESEARCH
JANUARY 2025

Supply tightness reflected in sustained rental growth across all sectors, amidst ongoing macro strength

▲ 4.2%
YoY forecast increase in GDP in 2025

▲ 55.4
UAE PMI December reading
Up from 54.2 a month earlier

▲ 5.2%
y-o-y increase in UAE RevPAR (FY 2024)

▲ 2.5pp
y-o-y increase in UAE hotel occupancy (FY 2024)

▲ ~ 18%
y-o-y Increase in Dubai average residential rents

▲ ~ 20%
y-o-y Increase in Dubai average office rents

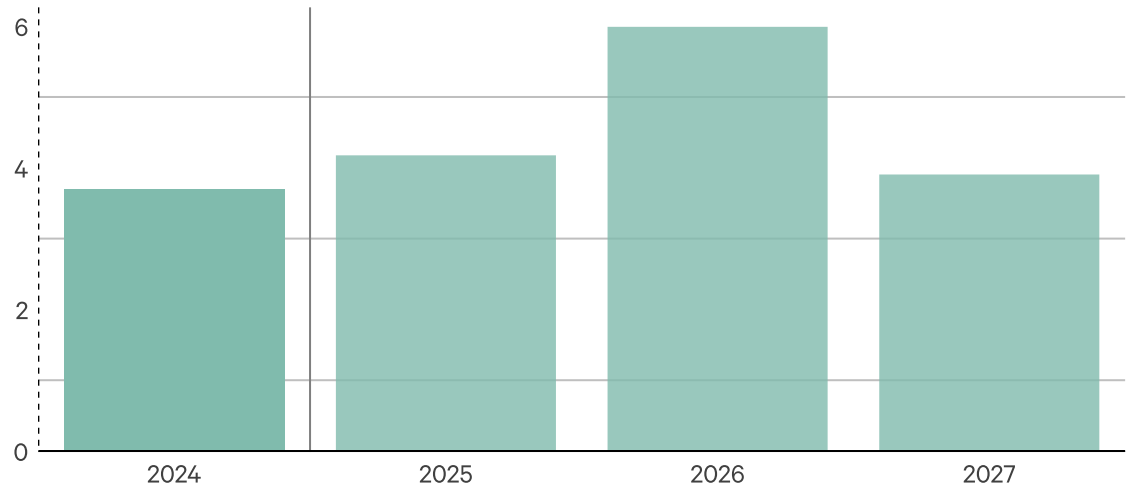
MACROECONOMIC OVERVIEW

- UAE GDP is forecasted to grow by 3.7% in 2024, with 2025 growth revised down to 4.2%, and 2026 up to 6.0%, reflecting the differing near and long-term assumption on the country's oil production.
- Growth in hydrocarbon GDP is expected to be weaker at just over 1% in 2024, following continued restriction on production and lower prices through H2, with Brent oil ending Q4 around US$75/barrel having dropped below US$70/barrel at times during September.
- Headline inflation remains comparatively low through 2024, at around 2.1%.

Based on Oxford Economics data, the UAE's economy will continue to grow strongly through 2025 and 2026, with headline growth of 4.2% and 6.0% respectively, albeit these forecasts are heavily linked to expectations on future oil output growth, with production levels likely to remain constrained, with release of additional quotas pushed further into the future.

Accordingly, the non-oil private sectors will remain the key driver of the country's economic growth and will ultimately also dictate market sentiment.

FIGURE 1: UAE, Gross Domestic Product, y-o-y change (%)



Source: CBRE Research/ Oxford Economics/ Macrobond

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MACROECONOMIC OVERVIEW

In December, the UAE's PMI rose by more than 1.0 point, increasing from 54.2 to 55.4, the highest level since March 2024.

However, the employment component of the index remained relatively weak as companies struggled with compressed margins amidst a period of discounting.

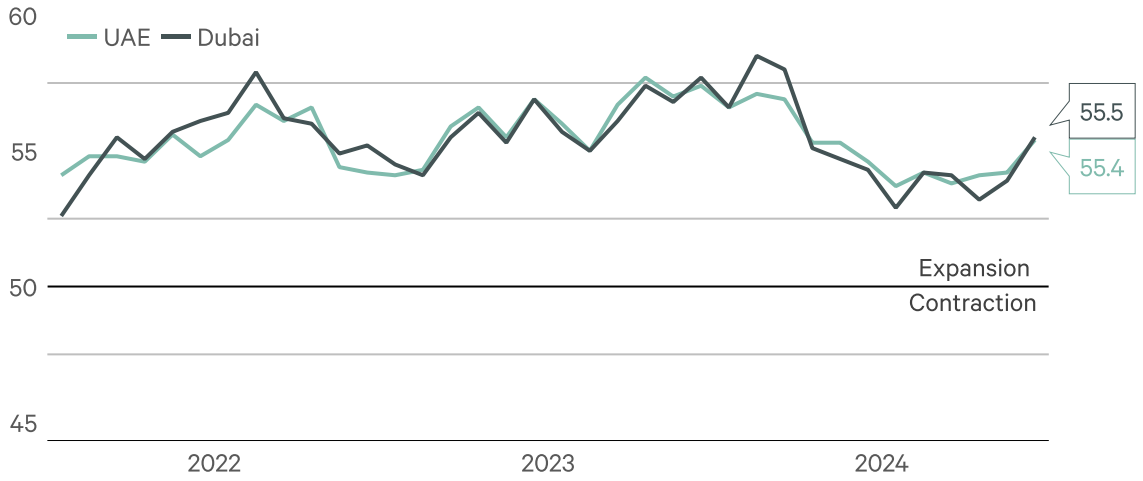
Dubai's PMI also increased sharply, jumping from 53.9 to 55.5 in December, and reaching the highest level since the end of Q1 2024.

Based on FCSC data, the UAE economy grew by 4.4% in H1 2024, largely driven by sectors such as tourism, transportation, financial and insurance services, construction and real estate. The Transport and Storage sector was the fastest growing non-oil sector, expanding by 8.4% year-on-year. This was then followed by the Finance and Insurance sector, which achieved similarly impressive growth of 7.6%, whilst contributing 12.5% of the total non-oil GDP. The Construction and Real Estate sector was ranked third, rising 7.3% during the same period, with Information and Communication sector growing 5.3% and ranked fourth.

The value of the country's Real GDP hit nearly AED880 billion in H1 2024, up 3.6% on the previous year, with non-oil sectors contributing AED660 billion, at a growth rate of 4.4%, and representing more than 75% of the UAE's total economic production.

> "Whilst it remains a non-oil story for the UAE, the potential impact of additional oil supply in 2025 will also be a major factor in determining the strength of economic production this year"

FIGURE 2: UAE, Purchasing Managers' Indices



Source: CBRE Research/ Macrobond

FIGURE 3: UAE, Key Economic Indicators, YoY % Change

	2023	2024	2025	2026	2027
GDP	**3.6%**	**3.7%**	**4.2%**	**6.0%**	**3.9%**
Oil GDP	-3.1%	1.3%	3.5%		
Non-Oil GDP	6.2%	4.5%	4.4%		
Inflation	1.6%	2.1%	2.5%	2.1%	2.0

Source: CBRE Research/ Oxford Economics.

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DUBAI OFFICES

Against the backdrop of cyclical high office occupancy rates and continued rising rental values, Dubai's commercial investment market has witnessed a significant jump in transactional activity over the past 12 months.

The sale of office properties, including Emaar Business Park 3, Emaar Square Building 3, 6 Falak, Business Park (TECOM), a minority (49%) stake in Brookfield Place, and more recently the H&H office project in DIFC comprising 600,000 sq ft of unbuilt commercial accommodation, has been unprecedented, and is reflective of the significant liquidity that is actively seeking investment deals in Dubai currently.

However, despite ongoing interest from international investors, including global sovereign wealth funds, all the referenced sales were completed to local UAE or other regional investors, including the likes of Aldar Properties (UAE) and Olayan Group (Saudi Arabia).

With supply now becoming increasingly tight across prime and secondary locations, leasing volumes are now being constrained with more limited large sized office transactions completed during the final quarter. Predominantly, occupiers are looking to remain in their existing accommodation, with many undertaking renovations to help extend the useful occupational lifecycle of their fit-outs, particularly in locations like DIFC where most properties are now full and with minimal upcoming supply expected during either 2025 or 2026.

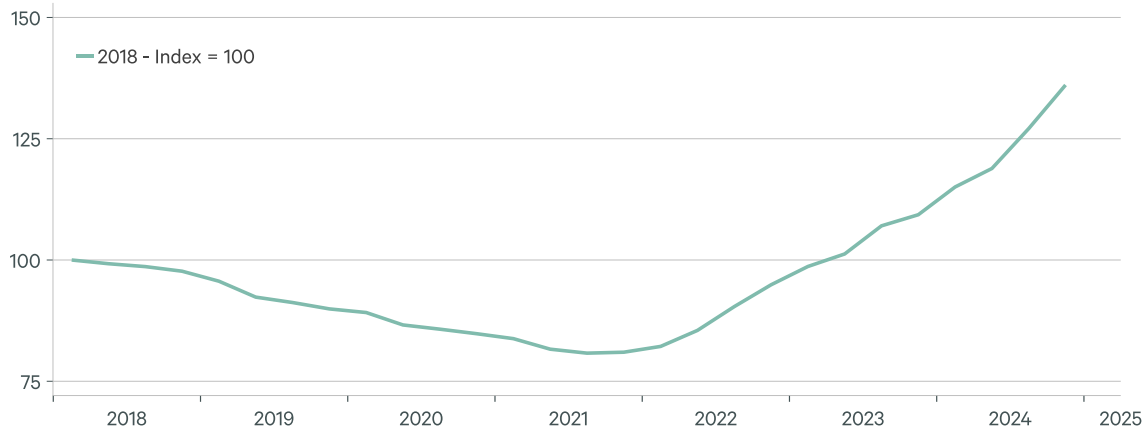
Office deliveries across the market were limited through 2024, with the handover of prominent projects such as One Zabeel and 6 Falak in early 2024, in addition to the newly renovated Millennium Office Tower on Sheikh Zayed Road, which was handed over at the end of the year.

For Q1 2025, Wasl Tower will be the main handover, with several other large office towers in Jumeirah Lake Towers scheduled for completion towards the end of the year.

As of the end of December, average occupancy rates across assets tracked by CBRE had reached 94%, up from 92% a year earlier. This trend is set to prevail through 2025 as new deliveries remain limited and as the non-oil economy continues to grow and generate more employment growth.

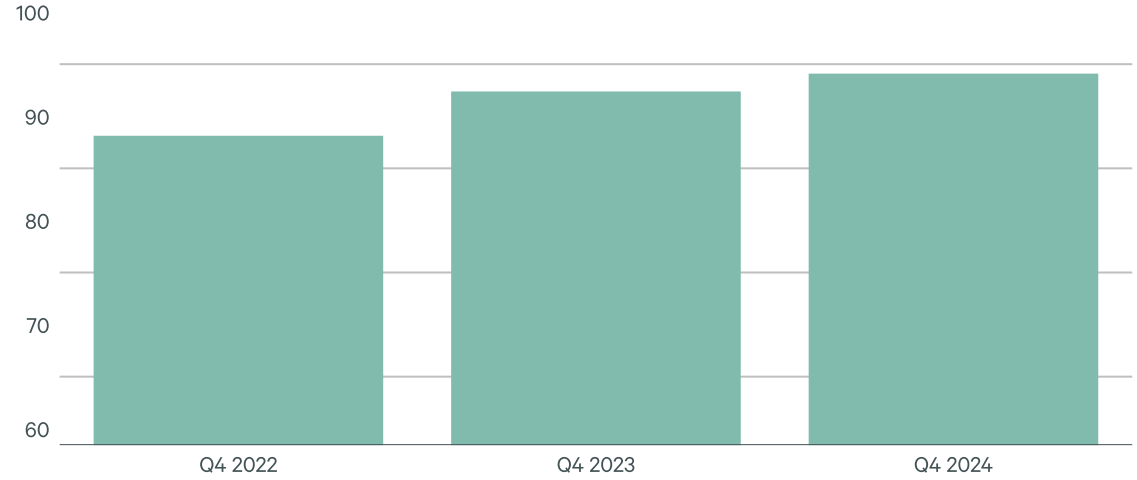
Office rentals have continued to move upwards through the final quarter with average leasing rates increasing by around 20% respectively year-on-year as compared to Q4 2023, as the undersupply of accommodation continues to pose problems for occupiers.

FIGURE 4: Dubai, Offices, Average Rental Index



Source: CBRE Research

FIGURE 5: Dubai, Offices, Average Occupancy Rate, %



Source: CBRE Research

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ABU DHABI OFFICES

Abu Dhabi recorded real GDP growth of 4.5% year-on-year during Q3, expanding from 4.0% in Q2 and 3.2% in Q1. This was the fastest pace of expansion in the Emirate since Q4 2022. Growth was primarily driven by the non-oil sectors which grew 6.6% year-on-year and 5.9% in year-to-date, supporting continued expansion of the office sector, amidst strong growth in new business licenses and expansion of companies.

This has been reflected in the continuation of tenant demand for new office accommodation, with strong lease up trends demonstrated by premium assets like Al Maryah Tower, which is already running at around 90% occupancy despite only being handed over around one year ago. This clearly demonstrates the market's appetite for high-quality accommodation in and around Abu Dhabi's financial centre at ADGM, which itself is already running at close to capacity.

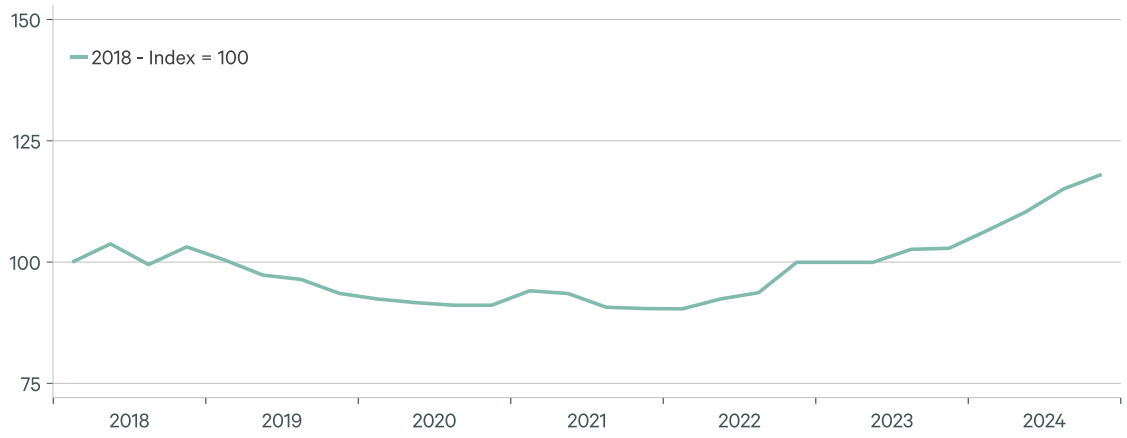
With occupier demand remaining firm, there has been an increase in construction activity in response, with several new office towers currently being developed across the upper parts of Abu Dhabi Island, predominantly of Grade B/C quality. However, the Grade A market is also being addressed with works underway on the Aldar / Mubadala joint venture One Maryah Place, which is set to bring 98,000 sqm of new office accommodation to the market upon completion.

In the shorter term, scheduled completions for 2025 include Aldar's Quartz Tower on Yas Island, as well as The Link at Masdar City, in addition to several other properties across the Main Island and Mainland.

Supporting the demand thesis, new lease registrations on Tawtheeq have continued to rise sharply through the final quarter, with strong quarter-on-quarter and year-on-year growth, with renewals broadly flat during the same period. This would suggest that landlords are increasingly active in asset managing their buildings as they aim to move on occupiers on lower rent structures and to attract new tenants willing to pay the rising rents.

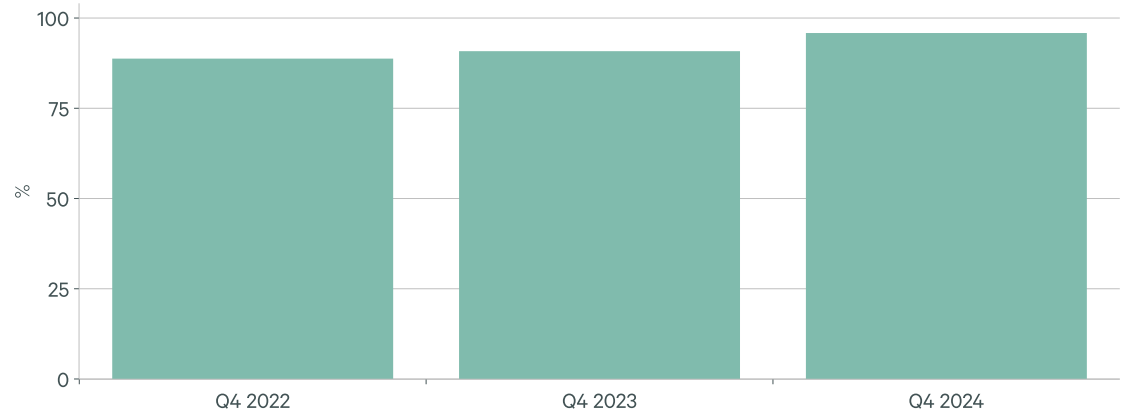
On the back of sustained take up, average occupancy rates have continued to rise, ending the year at over 94%, with rental rates also moving in the same direction, jumping 15% year-on-year as Landlords have become increasingly bullish with position on new lease terms, in the face of escalating demand and diminishing availability of quality supply.

FIGURE 6: Abu Dhabi, Offices, Average Rental Index



Source: CBRE Research

FIGURE 7: Abu Dhabi, Offices, Average Occupancy Rate, %



Source: CBRE Research

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DUBAI RESIDENTIAL

The DLD have moved to further strengthen the regulatory environment of Dubai's residential market with the launch of the new Smart Rental Index, which came live in January 2025 aiming to build upon the previous system, by using AI technology to widen the data pool and layer additional granularity by allocating value to a building's facilities, proximity to amenities, management, maintenance, and multiple other attributes. This means rent calculations should now better reflect a unit's qualities and detractors and allow for a fairer assessment of new lease terms. It should also mean less property disputes and greater overall market transparency, whilst also creating more certainty for occupiers and owners to plan with clarity.

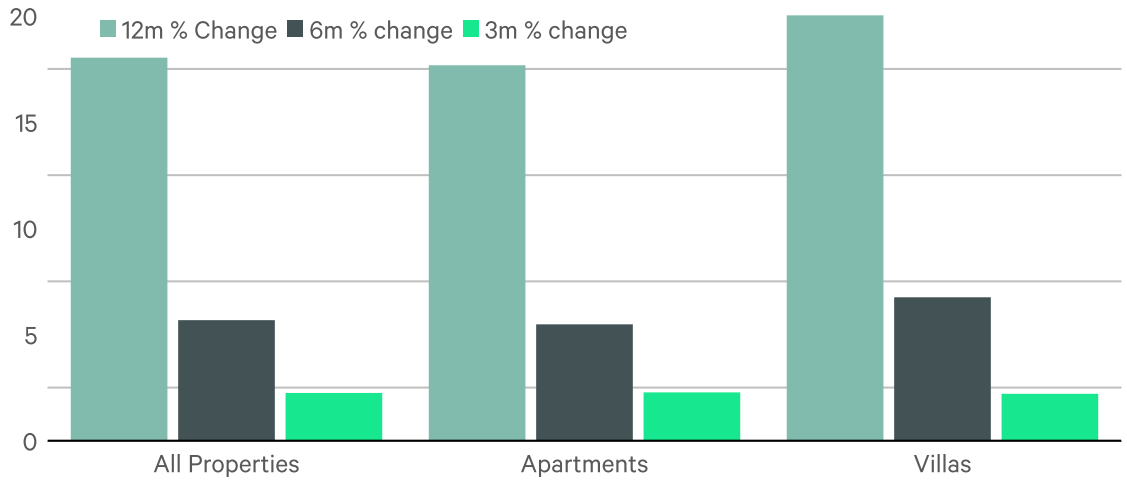
This is becoming increasingly important in a maturing market where individual unit upgrades and renovations have become commonplace, particularly within older freehold areas of the city, including in the Springs, Lakes, Meadows, Ranches, and parts of Palm Jumeirah, creating disparities between the quality of single properties within the same community or building.

Dubai's residential market has again delivered a very solid performance during Q4 2024, with average prices registering close to an 18% increase compared to the year prior. This has been underpinned by an 18% rise in average apartment prices and a 20% increase in average villa prices, with average values reaching AED 1,647 and AED 2,024 per square foot, respectively.

Rental growth has also continued almost unwavering, averaging 16% in the year to December 2024, with 16% growth in average apartment rents and 13% growth in average villa rents. This means as of the end of December 2024, average apartment and villa rents stood at nearly AED 56K and AED 166K per annum, respectively, and are anticipated to continue rising in the coming year due to the shortage of supply across core communities.

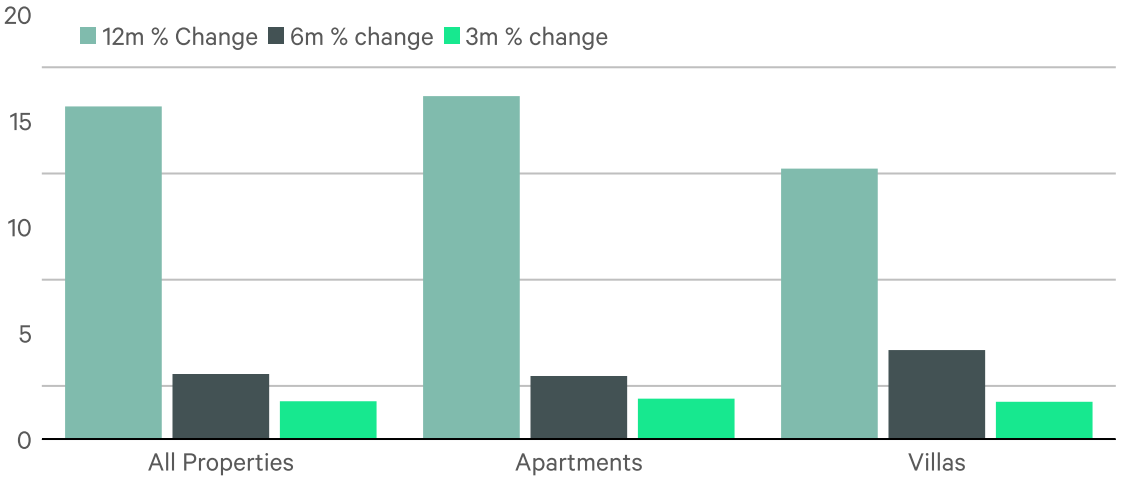
Based on data from the Dubai Land Department, rental contract registrations in Q4 increased by 7% year-on-year versus the same period in 2023, primarily supported by a 9% rise in renewal contracts and a 5% increase in new registrations. Tenants still broadly favor lease renewals to avoid the higher costs of new contracts, but this gap is narrowing as more new projects are delivered further from the city centre, offering more competitive rates and larger unit sizes. These new developments are attracting tenants who are looking for more affordable options without compromising on space and amenities.

FIGURE 8: Dubai, Residential, Price Performance, % Change to December 2024



Source: CBRE Research/ REIDIN

FIGURE 9: Dubai, Residential, Rent Performance, % Change to December 2024



Source: CBRE Research/ REIDIN

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DUBAI RESIDENTIAL

Another recent regulatory change was the move to allow foreign freehold ownership of certain lands and built assets across former GCC ownership areas along Sheikh Zayed Road to Al Jadaf and to the Dubai Water Canal. The move is expected to boost demand dynamics in the long term with a sizeable addition of new freehold land, whilst also leading to price growth by virtue of the larger pools of eligible investors.

However, there has also been some cooling measures applied, with the UAE Central Bank now restricting lending on transactional set up fees, including the DLD registration fee and other mortgage related costs. This is seen as a positive step at a time when speculative activities were clearly on the rise, with off-plan transactions accounting for 70% of all sales during 2024, a cyclical high in the current market cycle.

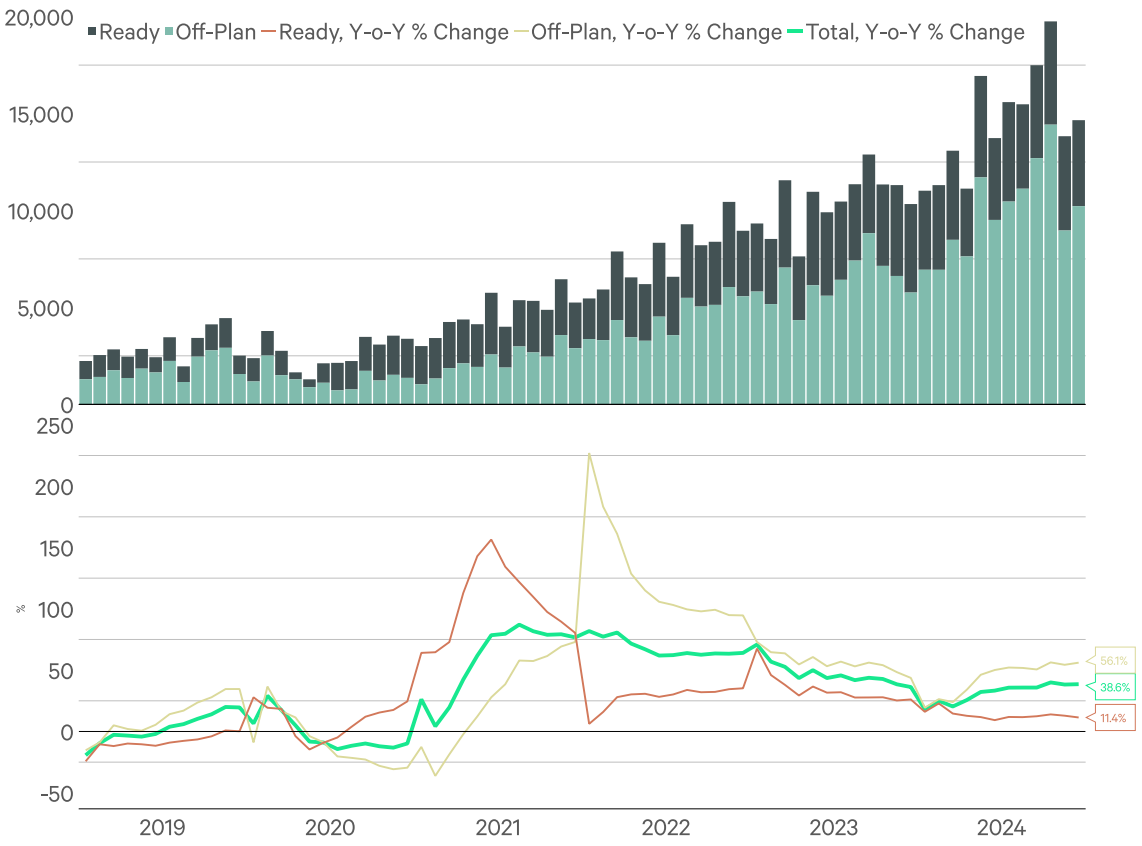
This followed another record year for Dubai, when transaction volumes continued to surge, primarily fueled by growth in off-plan sales. In 2024, residential unit transactions totaled 174k, marking a 39% increase from 125k in 2023. This growth trend, consistent with the previous quarter, is largely attributed to a nearly 72% rise in off-plan transactions year-on-year, with new sales launches still maintaining strong momentum.

This has been driven by the availability of attractive payment plans, making properties accessible to a wider pool of investors. However, some developers, including Emaar, are now being much more aggressive with their terms, requiring larger upfront payments and the majority of downpayments to be made through construction as opposed to upon completion.

In the fourth quarter, residential sales values continued to surge, with off-plan transactions nearing AED 82 billion and ready properties hitting AED 37 billion. Overall, Q4 recorded nearly AED 119 billion in residential sales, marking a 30% increase as compared to the same period last year. For the full year of 2024, residential transactions amounted to almost AED 434 billion, reflecting a 33% increase.

New launch activity has continued to grow rapidly, although the leasing market will remain undersupplied in the short term, with fewer than 25K units completed in 2024 and around 45K expected in 2025. This was against strong population growth, as total residents reached 3.8 million as per DSC data. This population growth is helping to drive higher housing demand and in sustaining current elevated rentals. However, a significant increase in new deliveries is anticipated from 2026 through to 2028 as the development cycle peaks.

FIGURE 10: Dubai, Residential Transactions



Source: CBRE Research/ REIDIN

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ABU DHABI RESIDENTIAL

In the fourth quarter of 2024, Abu Dhabi recorded over 4,500 residential sales transactions, marking a 19% increase as compared to the same period last year. This growth was primarily driven by a significant 59% year-on-year rise in ready sales activity, while off-plan transactions increased by 5%, yet still accounted for more than 66% of total volume.

Notably, Q4 2024 saw over 1,400 villa plot transactions, up 160% year-on-year. Most of these transactions were concentrated in areas such as Al Hudayriyat Island, Yas Island and Zayed City.

Throughout 2024, the total residential sales volume reached almost 15K transactions, reflecting a 7% increase from the previous year. This was driven by the significant growth in the ready sales market, which rose by around 40%. However, off-plan sales were broadly flat during the same period.

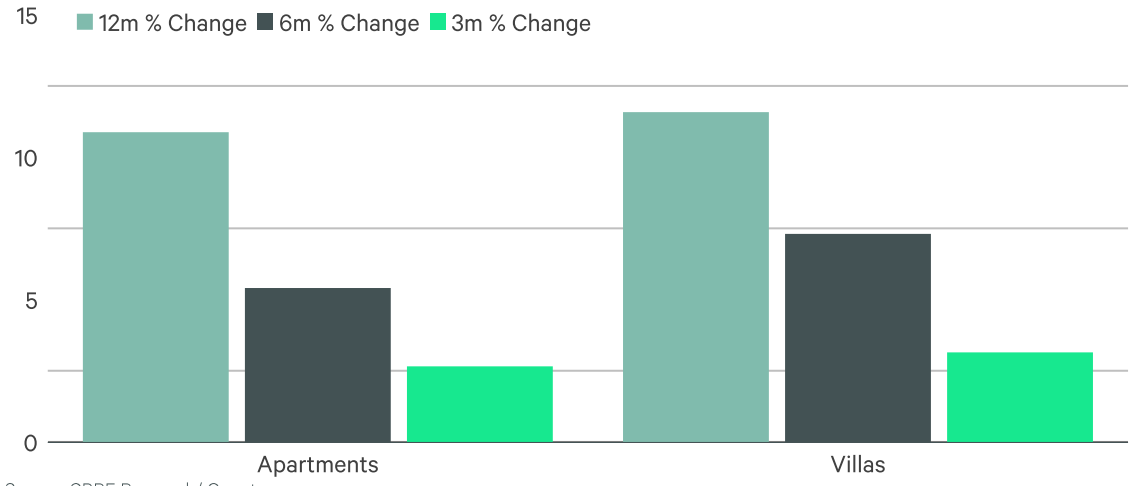
Abu Dhabi's average apartment price registered a year-on-year increase of nearly 11%, with average villa values growing by close to 12% during the same period.

Based on transactions from the quarter, average apartment values have now reached AED 12.7K per square meter, whilst average villa values were recorded at AED 11.4K per square meter.

In the occupational market, rental prices have also continued to climb as a population and supportive macro economic environment have resulted in strong tenant demand. Hotspots like Al Reem Island, Khalifa City, and Saadiyat Island have all attracted a significant number of new tenants, with notable growth in rental registrations amidst a steady stream of new projects being completed. Accordingly, average apartment rents increased by 12% in the year to Q4 2024, whilst average villa rentals grew by a more modest 4%.

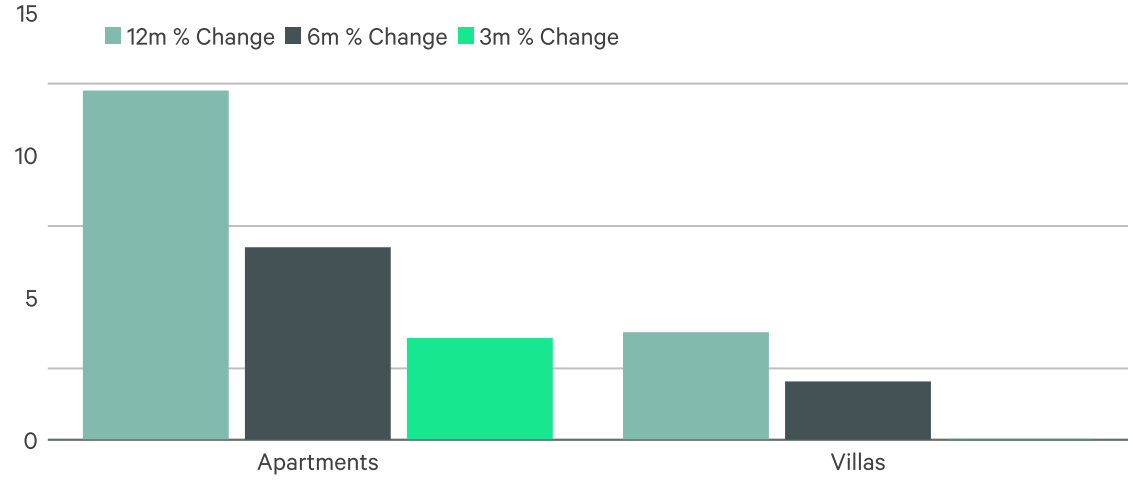
Activity in the off-plan market continued, with numerous new off-plan launches recorded, particularly across communities such as Yas Island, Hudayriyat Island, and Saadiyat Island. This has led to sizeable growth in the future development pipeline, with unit deliveries set to spike between 2025 and 2027 as the post-Covid surge in launch and construction activity comes to fruition.

FIGURE 11: Abu Dhabi, Residential Price Performance, % Change to Q4 2024



Source: CBRE Research/ Quanta

FIGURE 12: Abu Dhabi, Residential Rents Performance, % Change to Q4 2024



Source: CBRE Research/ Quanta

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UAE HOSPITALITY

According to World Travel and Tourism Council the UAE's tourism sector will contribute around AED236 billion towards the county's GDP in 2024, representing a sizeable 12% of the total economic production.

In the 11 months to November 2024, Dubai recorded 16.79 million international visitors, reflecting an increase of around 9% as compared to the same period last year, when tourists reached 15.37 million. The Emirate welcomed 1.83 million international tourists in November against close to 1.5 million for the same month last year. There was similarly impressive growth for Dubai Airport (DXB), which is forecasted to top 93.0 million passengers for the full year 2024.

The main source markets included Western Europe which accounted for 20% of the total visitors with nearly 3.3 million inbound tourists. This was followed by South Asia with close to 2.9 million, accounting for 17% of the total. The GCC was third with 2.5 million tourists, accounting for 15% of the total. The CIS and Eastern Europe came fourth with 2.4 million tourists, accounting for 14%.

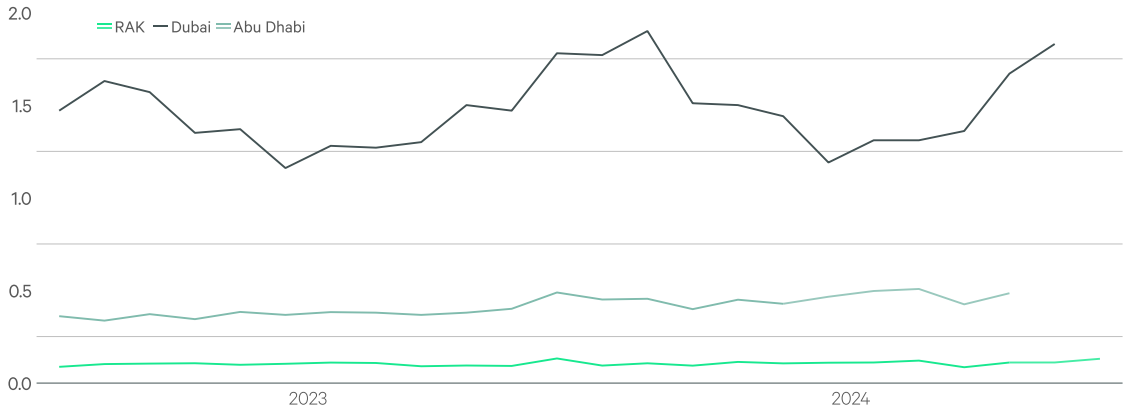
According to the Dubai Department of Economy and Tourism (DET), the number of hotel rooms at the end of November stood at 153,390 across 828 establishments, as compared to 149,685 rooms across 820 properties for the same month in 2023. Available 5-star hotel rooms reached 53,977 rooms across 168 establishments, representing 35% of the total Dubai hotel rooms, whilst 4-star keys accounted for 43,345 rooms across 194 properties.

From a performance perspective, Dubai's ALOS for the first 11 months of 2024 was 3.6 nights against 3.8 nights for the same period in 2023. ADRs for the first 11 months reached AED520/room/night, up 2% in 2023, while the RevPAR increased 3% to AED405/room/night against AED394/room/night in 2023.

Abu Dhabi also saw strong dynamics, welcoming 4.8 million guests in the 10 months to October, 26% higher than the same period in 2023. The Emirate also hosted more than 3.9 million visitors to cultural events and landmarks for the same period, which was up 21%.

For RAK, there was a new record with 1.28 million visitors recorded, up from around 1.22 million in 2023.

FIGURE 13: Abu Dhabi, Dubai and RAK Monthly Visitation Levels (in millions)



Source: CBRE Research/ Department of Culture and Tourism Abu Dhabi/ Dubai Department of Economy and Tourism/RAKTDA

FIGURE 14: UAE, Hospitality Market, KPIs, YoY % Change

Year to Date - FY 2024 vs FY 2023			
Emirate	Occ PP Change	ADR % Change	RevPAR % Change
UAE	2.5	2.7	5.2

Source: Co-Star

FIGURE 15: Dubai KPIs, YoY % Change

Year to Date - Nov 2024 vs Nov 2023			
Emirate	Occ	ADR	RevPAR
Dubai	78%	520	405

Source: DET / DCT / CBRE Research

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UAE RETAIL

Supply remains incredibly tight across the UAE's prime retail assets, with retailers currently struggling to fulfil requirements for new units across tier one assets such as Dubai Mall, Hills Mall and Mall of Emirates.

The strength of the market was further supported by recently released footfall figures from Dubai Mall which has broken its own record, as more than 111 million customers passed through the centre during 2024, up from 105 million visitors the previous year, and from around 88 million in 2022.

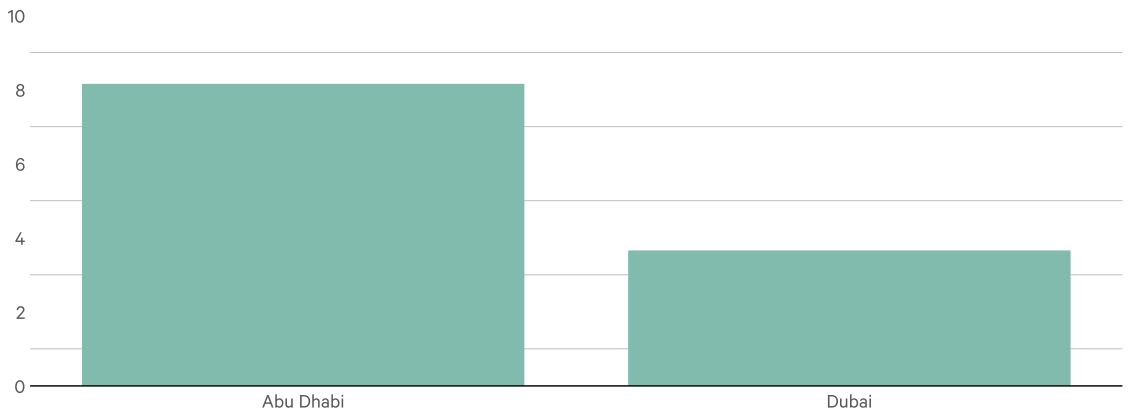
Amidst a buoyant non-oil economy, which is being very well supported by the Emirate's record tourism numbers and a growing domestic population, the country's retail market continues to go from strength to strength with cyclical high occupancy rates and rents.

However, whilst overall performance remains positive, more tenants are now starting to push back on Landlord requests for rental increases, unable to justify new lease terms amidst a highly competitive business environment that is increasingly relying on price discounting to support demand.

The future retail pipeline in Dubai remains quite limited in the short term, with around 80,000 sqm expected in 2025 across multiple smaller neighbourhood and community centres. This is broadly in line with 2024 deliveries, with the only major handover that of Dubai Expo Mall, which was completed earlier in the year. For Abu Dhabi, the completion of retail in The Grove project, will be the major handover this year.

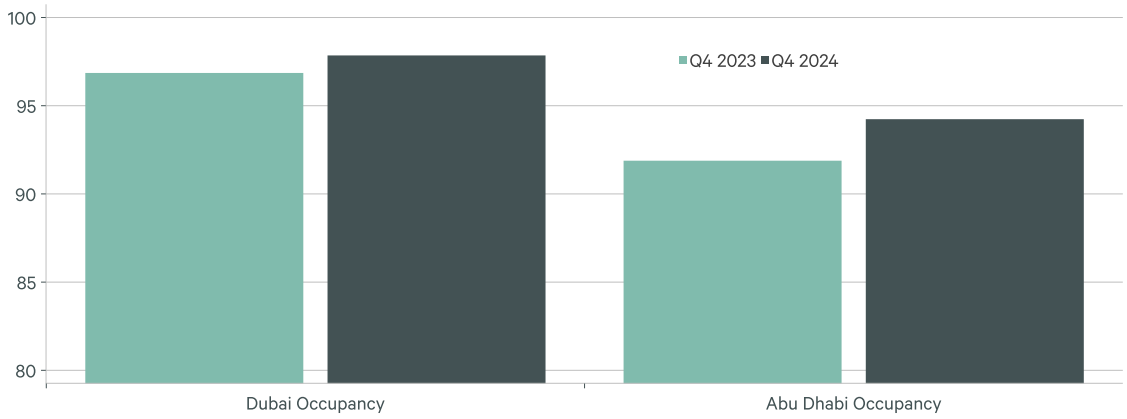
Market dynamics have remained consistent through 2024, with demand outpacing supply resulting in sustained rental growth. For Abu Dhabi rents have climbed by around 8% year-on-year, coming from a much lower base, whilst for Dubai, the increase has been close to 4% after seeing massive growth over the past three years, pushing the boundaries of what many tenants are willing to and or able to pay.

FIGURE 16: UAE, Retail Rents, YoY % Change to Q4 2024



Source: CBRE Research

FIGURE 17: UAE Retail, Average Regional and Super-Regional Malls Occupancy Rate, %



Source: CBRE Research

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UAE INDUSTRIAL

The country's industrial & logistics markets continue to benefit from positive market dynamics and a strong macro environment. This was demonstrated by the success of the Transport and Storage sector in H1 2024, which was recorded as the fastest growing non-oil sector, expanding by 8.4% year-on-year versus the same period in 2023. Trade activities have emerged as the single biggest contributor to non-oil, accounting for 16.5% of GDP, followed by manufacturing at 15%.

Dubai's warehousing rents have increased by close to 16% year-on-year in Q4 versus the same quarter last year, whilst for Abu Dhabi rents have risen by around 8% during the same period. This has been largely driven by increased leasing rates across locations such as KEZAD, which has seen notably higher growth in rental values. Interestingly, the rental gap between Grade A and B properties has narrowed to single digits, as the lack of supply has effectively levelled the playing field.

Occupancy rates for logistics spaces and industrial lands have risen slightly through 2024, supported by a heavily landlord-favoured market. Whilst developers are slowly starting to address the obvious dearth of supply by building speculative warehouses, new supply is not anticipated to come onstream in any real quantum until H2 2025 at earliest.

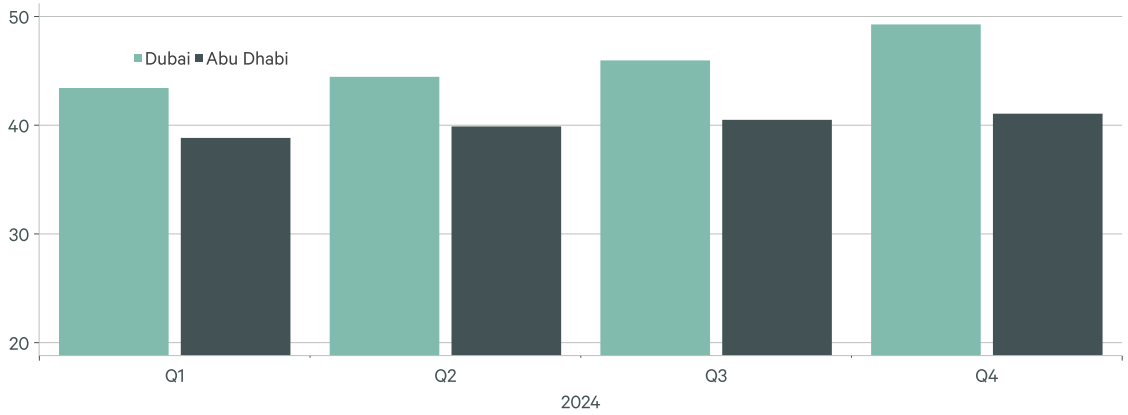
Accordingly, more international players are beginning to enter the UAE's logistics investment and development market, while their participation was previously limited by local landlords' reluctance to allow external competition.

During the quarter, there was a general shift towards smaller space requirements across the industrial space, likely a wider impact of the limited supply, with occupiers taking short term space requirements to fill the gap, with most leasing enquiries involving sizes of ~2,000 sqm.

Major leasing transactions have been focused on locations such as Dubai Investment Park, Dubai Investment City, and the Ras Al Khor industrial area, whilst Jabal Ali Free Zone and Dubai South have also benefitted due to their proximity to airports and seaports and the ability to facilitate trade activity.

The energy storage system, automotive spare parts, machinery and equipment sectors drove leasing demand in 2024, whilst 3PLs share of leasing volumes has declined over the course of the year. Occupiers in the food processing and agricultural farming sectors were also active on the back of the government's efforts to secure nationwide food security.

FIGURE 18: UAE, Industrial Rents, AED/SQFT



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